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Job insecurity and job satisfaction

The interactively moderating effects of optimism and person-supervisor deep-level similarity

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Abstract

Purpose – The purpose of this paper is to examine optimism and how facets of subordinates' psychological characteristics, such as their attitudes and personalities, are similar to their direct supervisors' (as person-supervisor deep-level similarity or P-S deep-level similarity) in order to understand their interactions with job insecurity in predicting employee job satisfaction.

Design/methodology/approach – Empirical study had been conducted. Sample firms in this study consist of eight state-run electric power companies and 16 licensed chemical companies in central Hubei Province in China. In total, 368 valid samples were included in the analyses (with a valid return rate of 73 percent). All constructs were rated on a five-point Likert-type response scale. In order to diminish the possibility of common method biases, the authors used participants' dyad supervisors to rate P-S deep-level similarity and P-S guanxi. The authors tested the hypotheses by implementing hierarchical linear regression.

Findings – The results show that when certain demographic variables (e.g. age, gender, education, post, employment type, income proportion, position) and P-S guanxi are controlled, optimism and P-S deep-level similarity significantly interact with job insecurity to predict job satisfaction. Job satisfaction is bolstered when job security increases among those who report a high level of both optimism and P-S deep-level similarity.

Originality/value – Researchers have found that job insecurity has negative effects on job satisfaction (Sverke *et al.*, 2002). But there is a lack of understanding about the mechanism of how job insecurity affects job satisfaction. In this study, the authors found that optimism and P-S deep level similarity could jointly moderate the relation (and direction) between job insecurity and job satisfaction. The work illustrates how positive traits (such as optimism) and psychological factors (such as P-S deep-level similarity) could affect employee job satisfaction with different levels of job insecurity.

Keywords Job satisfaction, Job insecurity, Individual psychology, Optimism, Employee-Supervisor similarity, Individual perception

Paper type Research paper



Throughout the years, job insecurity has garnered attention from scholars (Ashford *et al.*, 1989; Burke, 1998; Peiró *et al.*, 2012). With the increased downsizing, restructuring, and other changes in workforce and attitudes to work, there is a growing sense of change and instability among employees within organizations. This sense gives rise to employees' negative perceptions of security related to the nature and continued existence of their jobs (Romzek, 1985; Schweiger and Ivancevich, 1985; Sverke *et al.*, 2002). Researchers have found that job insecurity relates to a host of negative employee job outcomes. Job insecurity perceptions often entail negative psychological and physiological responses (Crandall and Perrewé, 1995; Quick *et al.*, 2003). Job insecurity may also precipitate and predict negative behavioral responses in terms of work. For example, lower job satisfaction and organization commitment have been identified as antecedents to employee withdrawal behaviors and departure (Davy *et al.*, 1997; Probst, 2000, 2002).

Job satisfaction is a pleasurable emotional state that originates from the evaluation of an individual's job or job experiences (Locke, 1976). Research suggests job insecurity negatively affects job satisfaction. Research supports an association between job insecurity and reduced job satisfaction (e.g. Ashford *et al.*, 1989; Buitendach and De Witte, 2005; Davy *et al.*, 1997; Probst, 2000; Sverke *et al.*, 2002). But the mechanism for how job insecurity affects job satisfaction remains unclear.

In this study, we examine the extent to which job insecurity predicts job satisfaction. We examine optimism and how facets of subordinates' psychological characteristics, such as their attitudes and personalities, are similar to their direct supervisors' (as person-supervisor deep-level similarity or P-S deep-level similarity) in order to understand their interactions with job insecurity in predicting employee job satisfaction. We argue that similarity between supervisors and subordinates in terms of these personality characteristics can help reduce the negative outcomes associated with job satisfaction and job insecurity (Knouse and Dansby, 1999; Wolfram and Mohr, 2009).

Our results show that when certain demographic variables (e.g. age, gender, education, post, employment type, income proportion, position) and P-S guanxi are controlled, optimism and P-S deep-level similarity significantly interact with job insecurity to predict job satisfaction. Job satisfaction is bolstered; even when job insecurity increases among those who report a high level of both optimism and P-S deep-level similarity (optimism and P-S deep-level similarity seem to buffer against the negative effects of job insecurity).

Identifying the role of P-S deep-level similarity and optimism in mitigating the negative effects of job insecurity on job satisfaction has important implications for theory and practice. This research is done with the goal of documenting the relationship between job insecurity and job satisfaction while also examining boundary conditions under which the insecurity-satisfaction relationship is attenuated or mitigated. Understanding the roles of optimism and deep-level similarity can be informative for organizational interventions aimed at helping employees reframe and identify the positive aspects of the future in terms of mentoring, leadership, and supervisor-subordinate rapport and quality of relationships. Below is a review of the pertinent literature, followed by a presentation of analyses and tests of proposed hypotheses, and a discussion with a focus on implications for theory and practice.

Job insecurity

Job insecurity refers to subjective perceptions about employment conditions, specifically, about losing job stability and continuity of employment relationship with the organization (Bernardi *et al.*, 2008). Evidence supports the notion that job insecurity is

not necessarily associated with job instability or employment relationships instability per se (Ahn and Mira, 2002; Elman and O'Rand, 2002). Job insecurity is not about the fear or expectation of losing one's job per se. It is a subjective judgment concerning future potential job loss, and reduced confidence in future job stability.

Generally, job insecurity has been associated with negative job-related outcomes. For example, when faced with perceived job insecurity, employees may report lower and reduced motivations due to decreased job satisfaction and organization commitment. Job insecurity may even foster a strong tendency or desire to depart from the organization (Davy *et al.*, 1997; Probst, 2000, 2002). In a meta-analysis, Sverke *et al.* (2002) found that job insecurity is negatively correlated with job satisfaction, trust, job involvement, and positively correlated with employees' turnover intentions.

Job satisfaction

Job satisfaction is also a subjective cognitive and affective judgment and is essentially an attitude (Davis and Katzman, 1997; Pinder, 1998). Job satisfaction can entail judgments and attitudes to multiple facets such as work, pay, promotion opportunities, supervision, and coworkers (Smith *et al.*, 1969), or to the job in a global sense (Judge *et al.*, 2001). Probst and Brubaker (2001) found that job insecurity has a negative impact on job satisfaction (in the form of job security dissatisfaction), which relates to other facets of satisfaction on the job (e.g. pay and promotion opportunities). Perceptions of job insecurity have been associated with reduced job satisfaction (e.g. Ashford *et al.*, 1989; Probst, 2000; Buitendach and De Witte, 2005), resulting in the conceptualization of a new operationalization of job security satisfaction (Probst, 1998).

The self-regulation and regulatory focus framework can be applied to explaining how insecurity relates to attitudes to work. Briefly, self-regulation is the ability of a person to modify behaviors and adapt and respond to challenges and changes (Carver and Scheier, 1981). Self-regulation relates to motivation and can directly and indirectly relate to attitudes to work (Baumeister and Vohs, 2007). Self-regulation requires accurate feedback and clearly defined work environments (e.g. standards of performance and clear roles), job insecurity could induce ambiguity and uncertainty, resulting in the inability of some people to self-regulate. It is possible that the ambiguity induced by insecurity could have negative effects on self-regulation and employee attitudes. Higgins (1997, 1998) identify two forms of regulatory focus (e.g. promotion, prevention). The prevention focus entails maintaining security and avoiding negative outcomes. Job insecurity may be a threat to this focus, and thus result in negative outcomes for employees.

Likewise, one central element of self-regulatory focus is regulatory strength. This strength relates to motivation and attainment of goals. It is possible that job insecurity can result in less motivation and less willingness on the part of employees to thrive:

H1. Job insecurity will negatively predict job satisfaction.

Optimism

Trait optimism is defined as an individual difference that reflects the extent to which people have and possess generally favorable expectancies for the future (Carver *et al.*, 2010). Optimism and positive thinking entail expectations and hope about positive events in the future (Scheier and Carver, 1992). The individual difference tendency to be optimistic entails "[...] a mood or attitude associated with an expectation about the social or material future – one which the evaluator regards as socially desirable, to his advantage or his pleasure [...]" (Tiger, 1979, p. 18). One buffer against the lack of job

security is optimism (since optimism often entails a way of looking toward the future with hope and expectations of positive events). There are two primary theoretical mechanisms used to further define optimism and to explain its impact on attitudes and behaviors (Peterson, 2000). One is Seligman's (1998) explanatory style model and the other is Carver and Scheier's (1981) self-regulatory model.

Carver and Scheier's (1981) model argues that optimism affects outcomes via its self-regulatory influence. According to this perspective, people perceive discrepancy between their current situation and the goal and initiate an assessment process about the consequences of their further actions. If they perceive that this discrepancy can be reduced (and desirable outcomes can be achieved), individuals continue to make efforts to reach those desirable outcomes. On the other hand, if individuals perceive that desirable outcomes are not attainable, they instead cease to take a further step. According to this perspective, it is expected that optimistic people would continue to work hard and actively cope with the difficulties they encounter, but pessimists would be more likely to give up (Lee *et al.*, 1993; Scheier and Carver, 1987; Scheier *et al.*, 1989).

In terms of explanatory style, Seligman (1998) has conceptualized optimism as attributing specific negative events to external, temporary, and situation-specific antecedents, and attributing positive events to personal, permanent, and pervasive causes. According to this view, optimistic people take credit for positive occurrences in their lives and expect that positive events are likely to happen through their efforts in the future, making them more motivated to persevere and work toward planned goals.

Previous research has shown that when faced with a novel or stressful situation, optimistic people tend to draw up an action plan (Strack *et al.*, 1987), reducing the possibility of withdrawing from organizations or abandoning one's goals (Seligman, 1998). Optimists tend to hold a positive view and possess a positive outlook (Carver and Gaines, 1987). Optimism can effectively reduce negative reaction (Drugan, 2000; Maier and Watkins, 2000; Peterson, 2000; Peterson and Bossio, 1991; Seligman, 2002; Seligman and Csikszentmihalyi, 2000).

Gillham (2000) described many positive influences of optimism. Those influences may entail biological and neurological buffers against strains, tenacity, effectively handling negative stress reactions. When faced with situations that result in job insecurity, individuals with high levels of optimism are more likely to persist, stay motivated, complain less about working conditions, and stay hopeful (and motivated) even when they anticipate the possibility of job insecurity. Job insecurity may reduce job satisfaction, but those negative effects may be buffered by an optimistic outlook. Thus, we propose the following:

H2. Optimism will positively predict job satisfaction.

H3. Optimism will moderate the relation between job insecurity and job satisfaction. When optimism is high, the job insecurity to job satisfaction relationship will be weaker than when optimism is low.

P-S deep-level similarity

In the workplace context, P-S similarity can be understood as containing two broad facets: surface similarity and deep-level similarity (Lankau *et al.*, 2005). Surface (or demographic) similarity entails demographic characteristics such as age, tenure,

education that supervisors and subordinates share (Ensher *et al.*, 2002). Deep-level similarity entails attitudinal characteristics such as outlook, perspectives, values, and problem-solving approaches that supervisors and subordinates share (Ensher *et al.*, 2002; Ensher and Murphy, 1997; Liden *et al.*, 1993).

Byrne's (1971) similarity-attraction paradigm suggests that higher similarity perceptions relate to higher interpersonal liking. Turban and Jones (1988) asserts that demographic similarity is important in forecasting subordinate performance, but not job satisfaction. With high P-S deep-level similarity, subordinates can have high level of personal liking with their supervisors (Lankau *et al.*, 2005), which may reinforce employees to develop positive feelings toward the supervisors and would advance a more active interaction between leaders and members (Tsui and Farh, 1997).

If a supervisor perceives deep-level fit with their direct subordinate, he or she may be more likely to trust, respect, and support the subordinate. Most of the time, supervisors control the outcomes for employees, such as benefits, support, and approval. Hence, P-S deep-level similarity perceptions could lead to subordinates' positive sense of exchange and support. This may also relate to employees' perceptions of guanxi quality with their supervisors (Chen and Chen, 2004), which, in turn, will likely offer employees with a high degree of satisfaction in their relationship with supervisors (Wong *et al.*, 2007). This may result in a positive sense of exchange and a higher perceived support from supervisors. Thus, we posit:

H4. P-S deep level similarity will positively predict job satisfaction.

H5. P-S deep level similarity will moderate the relation between job insecurity and job satisfaction. When P-S deep level similarity is high, the job insecurity to job satisfaction relationship will be weaker than when P-S deep level similarity is low.

Deep-level similarity and optimism

We argue that when P-S deep-level similarity is high and optimism is high, job satisfaction will also be high. We predict this because we expect that high levels of P-S similarity and of optimism buffer against the negative effects of job insecurity and facilitate job satisfaction due to a high degree of fit. We suggest that positive effects of P-S deep-level similarity should be augmented by optimism. We make this prediction based on theories about similarity in attitudes (e.g. Byrne, 1971; Newcomb, 1961), and in values and personalities (e.g. Schneider, 1987), where scholars find that employees prefer to interact with those who have similar psychological characteristics (e.g. deep-level similarity). Working with a similar supervisor is expected to boost the protective effects of optimism. These interactions may confirm and strengthen the employee's own beliefs, attitudes, and cognitions (e.g. Swann *et al.*, 1992). Thus, the positive effects of optimism could be augmented and become more pronounced when similar people collaborate. Optimistic subordinates may be motivated to look forward to future goals and continue to strive and actively handle the problems they encounter in seeking desirable outcomes (Kluemper *et al.*, 2009).

We argue that high levels of P-S deep-level similarity and optimism could foster favorable and positive conditions in jobs to offset some of the negative effects of job insecurity on job satisfaction. The framework of Kahn *et al.* (1964) emphasizes the determinative function of the environment which influences employees' perceptions and attitudes. They predict that variables related to one's role – role ambiguity, role

conflict, and role load – affect employees' job attitudes (e.g. job satisfaction). We predict that the combination of high P-S deep-level similarity and high optimism may enable employees to actively take advantage of resources or cope with difficulties (due to high level of optimism). P-S deep-level similarity may also result in a better support or attainment of resources for employees, which could moderate the negative relationship between job insecurity and job satisfaction.

Gilbreath and Benson (2004) suggest that behaviors of supervisors are related to employee stress. Low levels of P-S deep-level similarity between subordinates and supervisors may be associated with higher levels of stress and tension. Subordinates who have higher deep-level fit or compatibility with their supervisors often report less stress at work (Schoon, 2008). Furthermore, we expect that optimists would hold positive attitudes toward their work and their future. Those who experience more optimism are less likely to experience negative emotional states, resulting in higher levels of satisfaction (Peterson, 2000).

We also argue that job insecurity will negatively relate to job satisfaction when P-S deep-level similarity is high and optimism is low. P-S deep-level similarity could moderate the relation between optimism and job satisfaction (when P-S deep-level similarity is high). Moreover, optimism will be positively associated with job satisfaction. However, when subordinates have low levels of optimism, their inner resources will not be sufficient to offset the increasing impact of job insecurity on job satisfaction. Optimism is related to various individual outcomes such as depression (Seligman, 1998) and burnout (Chang *et al.*, 2000). Optimistic individuals positively evaluate daily troubles by anticipating a gain or growth from events (Fry, 1995), which could foster the ability to handle stress (Scheier and Carver, 1985; Strutton and Lumpkin, 1992). As to job insecurity and job satisfaction, when individuals have low levels of optimism, they are less likely to work hard or actively handle the difficulties or problems associated with job insecurity (Carver and Scheier, 1981; Kluemper *et al.*, 2009). Hence, it is likely that these individuals experience more self-blame and despair when job insecurity increases. Thus, even if P-S deep-level similarity is a robust predictor of employee job satisfaction (e.g. Turban and Jones, 1988), the relationship may not be as pronounced when optimism is low. We argue that P-S deep-level similarity may affect individuals' job satisfaction by augmenting qualities in the employees, especially their inner positive strengths (optimism included). P-S deep-level similarity could be a good predictor of employee job satisfaction (e.g. Turban and Jones, 1988), but the positive impacts of P-S deep-level similarity on job satisfaction depend on the individuals' inner strengths. Evidence shows that "human accomplishments and positive well-being require an optimistic sense of personal efficacy to override the numerous impediments to success" (Bandura, 1998, p. 56). If people are not optimistic, P-S deep-level similarity may not be easily transformed into efficacy to affect adverse situations.

We predict that when P-S deep-level similarity is low and optimism is high, the increasing job insecurity will also be associated with decreasing job satisfaction. Employees who are incompatible with their supervisors may feel more stressful at work and less stress when the compatibility with supervisors is high. When P-S deep-level similarity is low, behavioral integration may also be low (Schaubroeck and Lam, 2002). In other words, P-S deep-level similarity could significantly predict the quality of LXM relationship between supervisors and subordinates (Ensher *et al.*, 2002). Moreover, in terms of high job insecurity, those with low P-S deep-level similarity and high optimism may seek opportunities elsewhere or seek employment in other settings. Low P-S deep-level similarity coupled with high optimism may result

in employees feeling confident and able to find new jobs or new employment opportunities, leading to lower job satisfaction.

It is logical to argue that when P-S deep-level similarity is low and optimism is low, higher job insecurity will result in significantly lower job satisfaction. When optimism is low, higher job insecurity will be associated with sharply decreasing job satisfaction. Moreover, lower P-S deep-level similarity may directly engender a decrease in job satisfaction based on the premise that supervisor-subordinate similarity is a robust predictor of job satisfaction (Turban and Jones, 1988), and indirectly affect job satisfaction by influencing organizational commitment and intentions to leave, which are associated with job satisfaction (Currivan, 1999; Griffeth *et al.*, 2000; Maertz and Campion, 1998). With all of the above, we posit:

H6. P-S deep level similarity will moderate the relation between optimism and job satisfaction. When P-S deep level is high, the positive relationship between optimism and job satisfaction will be strengthened.

H7a. When optimism is high, the negative relationship between job insecurity and job satisfaction will be strengthened when P-S deep-level similarity is low.

H7b. When optimism is high, the job insecurity-job to satisfaction relationship will be weakened when P-S deep-level similarity is high.

H7c. When optimism is low, higher job insecurity will result in lower job satisfaction regardless of P-S deep-level similarity levels.

P-S guanxi

Guanxi is regarded as a personal connection and is often interpreted as the foundation for effective collaboration in China (Chen and Chen, 2004). Chinese concept of personal guanxi includes work and non-work exchange by social interaction (such as home visits, Hui and Lin, 1996). High-quality guanxi is "characterized by the mutual trust and feeling developed between the two parties through numerous interactions following the self-disclosure, dynamic reciprocity, and long-term equity principles" (Chen and Chen, 2004, p. 306). A high level of supervisor-subordinate guanxi may be seen as useful to help employees deal with day-to-day problems and helpful to the subordinates' long-term career success in an organizational context (Xin and Pearce, 1996). P-S guanxi may buffer against perceptions of subordinates' insecurity. In the above analyses, we control P-S guanxi when considering the relationship between job insecurity and job satisfaction and interactively moderating effects of optimism and P-S deep level similarity.

Methods and results

Sample and procedures

Sample firms in this study consist of eight state-run electric power companies and 16 licensed chemical companies in central Hubei Province in China. These companies have repeatedly experienced changes and organizational restructuring in terms of operation management and human resource management in the past ten years (i.e. employee competitions for limited positions and downsizing). The 24 organizations sampled were similar in terms of insecurity, operating at 50 percent operation capacity to fulfill only short-term orders and contracts. This contextual factor likely contributed to ambiguity and perceptions of low security.

We distributed 500 questionnaires (450 were returned from all firms). The surveys were administered by the fourth author. Before the survey began, our fourth author told the participants the academic purpose of this survey and obtained consents from participants. He also ensured in advance that the data collection processes would be confidential by getting the questionnaires on the spot. Employees and their direct supervisors completed the surveys separately.

Among 450 returned questionnaires, 368 were valid and included in the analyses (with a valid return rate of 73 percent. Invalid questionnaires were incomplete). In terms of age, approximately 1.1 percent ($n = 4$) of the respondents were under 20; 21.2 percent ($n = 78$) were between 21 and 30; 47.6 percent ($n = 175$) were between 31 and 40; 22.6 percent ($n = 83$) were between 41 and 50; 5.2 percent were over 51. In terms of sex, males accounted for 59.9 percent ($n = 220$); females accounted for 40.1 percent ($n = 176$). In terms of educational background, 26.6 percent ($n = 94$) were high school or junior high school graduates; 59.2 percent ($n = 209$) were junior college graduates; 11.6 percent ($n = 41$) achieved bachelor degrees; 2.6 percent ($n = 9$) achieved master degrees. The majority of respondents were low-level employees ($n = 263$; 73.9 percent); supervisors made up 19.1 percent ($n = 68$); department managers made up 7.0 percent ($n = 17$), and 5 percent not reporting position ($n = 20$).

In terms of length of employment, 60.3 percent ($n = 211$) of the respondents had one to six years' contracts; 8.9 percent ($n = 31$) had less than one year or just part-time contracts; 27.4 percent ($n = 96$) had open-ended employment contracts (more than six years' contracts); 3.4 percent ($n = 12$) were employed through third party entities. A one-way analysis of variance (ANOVA) was conducted to examine if there were systematic differences in terms of employment arrangements. No significant differences were found among the above four categories, $F(3, 344) = 0.07$, $p = 0.98$.

In terms of proportions of income respondents earned for their households, 25.7 percent ($n = 91$) earned above 80 percent of their household income; 15.8 percent ($n = 56$) earned between 60 and 80 percent of their household income; 37.3 percent ($n = 132$) earned between 40 and 60 percent of their household income; 15.5 percent ($n = 55$) earned between 20 and 40 percent; 5.6 percent ($n = 34$) earned under 20 percent. About 53.5 percent ($n = 189$) of the respondents worked in production posts; 11.3 percent ($n = 40$) worked in management positions; 22.4 percent ($n = 79$) worked in technical positions; 12.8 percent ($n = 45$) worked in logistics-related positions. A one-way ANOVA was conducted to examine if there were systematic differences in terms of job type. No significant differences were found among the four above categories $F(3, 347) = 1.14$, $p = 0.33$.

Measures

All constructs were rated on a five-point Likert-type response scale ranging from 1 (strongly disagree) to 5 (strongly agree). Participants reported job insecurity, optimism, and job satisfaction. In order to diminish the possibility of common method biases, we used participants' dyad supervisors to rate P-S deep-level similarity and P-S guanxi. All items went through the standard translation and back-translation procedure (Brislin, 1986). The original items were translated into Chinese from their original English forms. Once this was done, items were translated back into English to verify that the translated version was comparable to the original version.

Job insecurity. The ten-item ($\alpha = 0.87$ for the original scale) job insecurity scale was originally developed by Oldham *et al.* (1986). Originally, a high score indicated high job security and low scores indicated low job security. During data analysis, we

implemented reverse scoring, such that lower values (e.g. 1) correspond to low job insecurity, and high values (e.g. 5) indicated high job insecurity. Two sample items read: "I will be able to keep my present job as long as I wish." and "My current organization will not cut back on the number of hours I work each week." The measure demonstrated adequate reliability (Cronbach $\alpha = 0.84$).

Optimism. The six-item ($\alpha = 0.84$ for the original scale) scale of optimism was created by Luthans *et al.* (2007). Two sample items read: "If something can go wrong for me, it will (R)" and "I always look on the bright side of things." The measure demonstrated adequate reliability (Cronbach $\alpha = 0.81$).

P-S deep-level similarity. The six-item ($\alpha = 0.86$ for the original scale) scale of P-S deep-level similarity was developed by Lankau *et al.* (2005). Two sample items read: "I am similar in personality with this subordinate," and "I am similar in interests with this subordinate." Respondents with subordinates completed this scale, for respondents who were supervisors or department managers, executives in the organization were recruited to provide a similarity rating. The measure demonstrated adequate reliability (Cronbach $\alpha = 0.82$).

Job satisfaction. A six-item ($\alpha = 0.86$ for the original scale) job satisfaction scale was taken from the Job Content Satisfaction subscale of Hackman and Oldham (1980). Two sample items read: "I'm satisfied with the achievement I got from this job." and "I'm satisfied with work contents in this position." The measure demonstrated adequate reliability (Cronbach $\alpha = 0.87$).

P-S guanxi. A supervisor-rated six-item supervisor-subordinate Guanxi scale ($\alpha = 0.86$ for the original scale) was adapted from Law *et al.* (2000). Two sample items read: "I always actively share with this subordinate about my thoughts, problems, needs and feelings," and "I care about and have a good understanding of this subordinate's family and work conditions." Employees with subordinates completed guanxi items. Each employee with a supervisor was rated in terms of guanxi, 263 low-level employees, and 68 supervisors were rated by their superiors. The 17 department managers were rated by their direct superiors (individuals at the executive level of the organization). The measure demonstrated adequate reliability (Cronbach $\alpha = 0.87$).

Control variables. Researchers have found that demographic factors affect and may relate to job insecurity. De Witte (1999) and Rosenblatt *et al.* (1999) point out that males report higher levels of insecurity than females. De Witte (1999) found that gender buffers the relationship between job insecurity and psychological pain. In respect to position in the organization, De Witte and Näswall (2003) conclude from the comparative studies among samples of Belgium, the Netherlands, Italy, and Sweden that permanent and temporary employments are correlated with job insecurity (except for Italy). The economic needs of work may cause job insecurity as well (Holm and Hovland, 1999), and there is a pronounced correlation between job insecurity and dependence on present work (Kinnunen *et al.*, 1999). Specifically, as time passes, job insecurity increases in the paper mill samples and decreases in social health department samples. Females reported decreasing job insecurity over time, while males reported increasing levels of job insecurity over time (Kinnunen *et al.*, 1999). The impact of the changing working world may vary as a function of age; these perceptions may also be modified as a function of time or tenure in an occupation. Age is an important dimension to forecast job insecurity. Likewise, as time passes, the importance and salience of change at work may decrease. For younger employees, the more dependent they are, the more emphasis they put on stability and the more likely they appraise changes as negative. Thus, according to the review of literatures above, the control variables of this research

included age, gender, educational background, employment type, employment, income proportion, position property, and P-S guanxi. Sex was coded dichotomously (1 = male, 2 = female); employee post type was categorical (1 = manufacturing post, 2 = management post, 3 = technical post, 4 = logistics post); employment tenure was categorical (long-term contracts with three-year term, 2 = part-time contracts; 3 = permanent contracts with non-fixed term, and 4 = contract through third party entities), and position in the organization was categorical (1 = general staff, 2 = site supervisor or monitor, 3 = department supervisor or engineer).

Results

Confirmatory factor analyses (CFA)

We conducted a series of CFA in LISREL (Jöreskog and Sörbom, 1993) to establish the discriminant validity of the measures used in the study. We first specified a four-factor baseline model, in which (F1) job insecurity, (F2) optimism, (F3) P-S deep-level similarity, and (F4) job satisfaction were treated as separate factors (M0). We then compared the hypothesized model (M0) with several alternative models: (F1) job insecurity, (F2) optimism and P-S deep-level similarity, and (F3) job satisfaction, combined into a three-factor model (three-factor model, M1). This was compared to a model where (F1) job insecurity, (F2) optimism, P-S deep-level similarity, and job satisfaction were separately combined into two factors (two-factor model, M2). Finally, this was compared to a model where (F1) job insecurity, optimism, P-S deep-level similarity, and job satisfaction were combined into one factor (one-factor model, M3). Because our indicator-to-sample-size ratio was lower than the recommended threshold (Marsh *et al.*, 1988), which may influence the model fit indices, we focus on examining if our hypothesized model supports job insecurity as a distinct factor when examined against alternative models. Results in Table I show that the four-factor model (M0) fit the data acceptably, $\chi^2(269; N = 368) = 661.63$; comparative fit index (CFI) = 0.94;

Models	Descriptions	χ^2	$\Delta\chi^2$	df	$\Delta\chi^2$	RMSEA	CFI	GFI
Baseline four-factor model (M0)	F1: job insecurity; F2: optimism; F3: person-supervisor deep-level similarity; F4: job satisfaction	616.63		269		0.07	0.94	0.94
Three-factor model (M1)	F1: job insecurity; F2: optimism and person-supervisor deep-level similarity; F4: job satisfaction	1191.41	574.78	272	574.78**	0.11	0.81	0.74
Two-factor model (M2)	F1: job insecurity; F2: optimism, person-supervisor deep-level similarity, job satisfaction	1621.38	429.97	274	429.97**	0.14	0.72	0.68
One-factor model (M3)	F1: job insecurity, optimism, person-supervisor deep-level similarity, job satisfaction	1895.47	274.09	275	274.09**	0.14	0.66	0.64

Notes: All models compared to the baseline four-factor model (M0). ** $p < 0.01$

Table I.
Discriminant validity
for predictors using a
confirmatory factor
analyses approach

normed fit index = 0.94; root mean square error of approximation = 0.07. Table I displays fit indices from M0 and alternative models, supporting the discriminative validity of main variables of our study (Hu and Bentler, 1999). Moreover, the CFI and GFI of four-factor model (M0; CFI = 0.94 and GFI = 0.94, respectively) are superior to those of the one-factor model (M3; CFI = 0.66, GFI = 0.64). These also suggest that common method bias is not a serious threat to our results (Harris and Mossholder, 1996).

Description of results

Means, standard deviations, and all study variable correlations are reported in Table II at the individual level (e.g. all respondents). Job insecurity was negatively and significantly correlated with job satisfaction ($r = -0.35$, $p < 0.01$), optimism ($r = -0.47$, $p < 0.01$), and P-S deep-level similarity ($r = -0.24$, $p < 0.01$); optimism was positively and significantly correlated with job satisfaction ($r = 0.29$, $p < 0.01$) and P-S deep-level similarity ($r = 0.16$, $p < 0.01$); P-S guanxi was negatively and significantly correlated with job insecurity ($r = -0.22$, $p < 0.01$), positively and significantly correlated with P-S deep-level similarity ($r = 0.61$, $p < 0.01$) and job satisfaction ($r = 0.29$, $p < 0.01$).

Hypotheses tests

To test the hypothesized relationships, we used a four-step hierarchical linear regression approach to test our hypotheses (Shoss *et al.*, 2012) (Figure 1). In the first step, we entered control variables only. In the second step, we entered job insecurity, optimism, and P-S deep-level similarity into the model (to test the main effects of job insecurity, optimism, and P-S deep-level similarity). In the third step, we added the three two-way interactions into the model. And in the fourth and final step, we entered a three-way interaction between job insecurity, optimism, and P-S deep-level similarity into the model. The results are presented in Table III.

For *H1*, we predicted that job insecurity would negatively predict job satisfaction. *H1* was supported ($\beta = -0.25$, $p < 0.01$). In *H2*, we predicted that optimism would positively predict job satisfaction. *H2* was supported ($\beta = 0.18$, $p < 0.01$).

In *H3*, we predicted that optimism would moderate the relationship between job insecurity and job satisfaction. Indeed, the interaction of job insecurity and optimism was significant ($\beta = 0.16$, $p < 0.01$). *H3* was supported.

In *H4*, we predicted that P-S deep-level similarity would predict job satisfaction. *H4* was not supported. There was no main effect of P-S deep level similarity on job satisfaction ($\beta = 0.04$, ns). In *H5*, we predicted that P-S deep-level similarity would moderate the relationship between job insecurity and job satisfaction. *H5* was not supported. P-S deep level similarity was not a moderator in the job insecurity to job satisfaction relationship ($\beta = 0.08$, ns).

In *H6*, we predicted that P-S deep-level similarity would moderate the relation between optimism and job satisfaction. The interaction between optimism and P-S deep-level similarity was significantly related to employee job satisfaction ($\beta = 0.12$, $p < 0.05$). See Table III for full hierarchical regression results and Figure 2 for a plot of the various interactions.

As shown in Table III, job insecurity was significantly and negatively associated with job satisfaction in Step 2 ($\beta = -0.24$, $p < 0.01$). In Step 3, job insecurity was again significant ($\beta = -0.23$, $p < 0.01$), and two two-way interactions (job insecurity $\times$ optimism and optimism $\times$ P-S deep-level similarity) were significant ($\beta = 0.11$, $p < 0.01$ and

	<i>M</i>	<i>SD</i>	1	2	3	4	5	6	7	8	9	10	11	12
1. Age	3.02	0.95	–											
2. Gender	1.40	0.50	0.06	–										
3. Education	1.89	0.83	0.01	0.11*	–									
4. Post	1.38	0.81	0.29**	0.05	0.62**	–								
5. Employment	1.74	1.08	0.09	–0.10	0.34**	0.46**	–							
6. Income proportion	2.77	5.24	0.03	0.02	0.03	0.04	0.13*	–						
7. Position	1.93	1.20	0.13*	0.16**	0.42**	0.36**	0.40**	0.04	–					
8. P-S-guanxi	3.28	0.74	0.11*	–0.16**	0.10	0.13*	0.06	–0.02	0.06	–				
9. Job insecurity	2.68	0.63	–0.20**	0.02	–0.14**	–0.20**	–0.14**	0.03	–0.08	–0.22**	–			
10. Optimism	3.74	0.65	0.12*	–0.08	0.12*	0.05	0.17**	0.03	0.08	0.09	–0.47**	–		
11. P-S deep-level similarity	3.23	0.63	0.11*	–0.21**	0.13*	0.11*	0.05	–0.03	0.08	0.61**	–0.24**	0.16**	–	
12. Job satisfaction	3.72	0.74	0.02	–0.01	–0.04	–0.05	0.01	–0.03	–0.04	0.29**	–0.35**	0.29**	0.25**	–

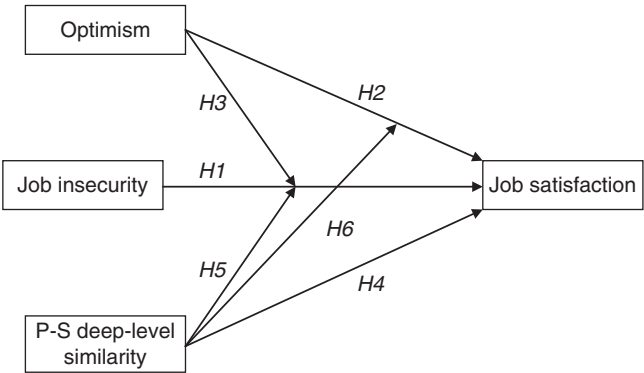
Notes: *N* = 368. *M*, variable means; *SD*, standard deviations. **p* < 0.05; ***p* < 0.01

Table II.
Means, standard
deviations, and zero-order
correlations between
study variables

$\beta = 0.14$, $p < 0.01$, respectively). In Step 4, the three-way interaction was significant ($\beta = 0.11$, $p < 0.01$).

To explore the nature of this interaction, we plotted the relationship between job insecurity and job satisfaction at two levels of optimism (± 1 SD) and P-S deep-level similarity (± 1 SD) and performed simple slopes analyses (Preacher *et al.*, 2006). We presented the results of the simple slopes analyses in Table IV and the corresponding plot of the interaction in Figure 2. As expected, the relationship between job insecurity and job satisfaction was significant ($\beta = -0.27$, $p < 0.01$) among employees high in optimism reporting low levels of P-S deep-level similarity. *H7a* was supported. Among employees who are high in optimism but report high levels of P-S deep-level similarity, job insecurity did not reduce employee job satisfaction ($\beta = 0.17$, ns). *H7b* was supported. Also as expected, the relationship between job insecurity and job

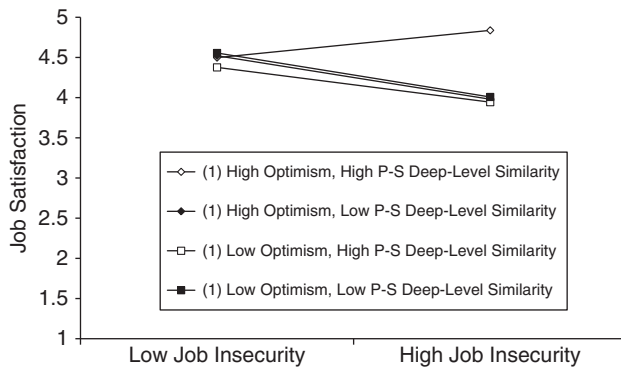
Figure 1.
Conceptual figure
demonstrating our
hypothesized
relationships



	Step 1		Step 2		Step 3		Step 4	
	Estimate	SE	Estimate	SE	Estimate	SE	Estimate	SE
Intercept	0.29	0.30	0.42	0.28	0.55*	0.28	0.60**	0.28
Age	-0.04	0.07	-0.11	0.06	-0.13*	0.06	-0.15**	0.06
Gender	0.01	0.11	0.13	0.11	0.14	0.11	0.16	0.11
Education	-0.04	0.09	-0.09	0.09	-0.13	0.08	-0.15	0.08
Post	-0.08	0.09	-0.06	0.09	-0.03	0.09	-0.02	0.09
Employment	0.00	0.00	0.01	0.01	-0.01	0.01	-0.01	0.01
Income proportion	0.00	0.01	-0.01	0.01	-0.01	0.01	-0.01	0.01
Position	0.00	0.01	-0.01	0.01	-0.01	0.01	-0.01	0.01
P-S guanxi	0.23**	0.05	0.17**	0.06	0.18**	0.06	0.18**	0.06
JI			-0.28**	0.07	-0.24**	0.07	-0.23**	0.07
OP			0.21**	0.06	0.16**	0.07	0.21**	0.07
PSDL similarity			0.04	0.07	0.07	0.07	0.10	0.07
JI × OP					0.11**	0.04	0.03	0.05
JI × PSDL similarity					0.08	0.07	0.08	0.07
OP × PSDL similarity					0.14**	0.06	0.11	0.07
JI × OP × PSDL similarity							0.14**	0.06
R ²	0.06		0.18		0.22		0.23	
ΔR ²			0.06		0.04		0.01	

Table III.
Hierarchical regression
results

Notes: $N = 368$. JI, job insecurity; OP, optimism; PSDL similarity, person-supervisor deep-level similarity. * $p < 0.05$; ** $p < 0.01$



Note: For ease of interpretation, all variables are Z score transformed and standardized

Figure 2.
Interaction between job
insecurity, optimism, and
P-S deep-level similarity
predicting job satisfaction

	β	<i>t</i> -test
<i>High optimism</i>		
High PSDL similarity	0.17	1.23
Low PSDL similarity	−0.27**	−2.83
<i>Low optimism</i>		
High PSDL similarity	−0.22	−1.51
Low PSDL similarity	−0.27**	−2.52

Notes: Standardized coefficients are presented. ** $p < 0.01$

Table IV.
Simple slopes analyses

satisfaction was negative among employees low in optimism reporting high level of P-S deep-level similarity ($\beta = -0.22$, ns), and also negative but among employees low in optimism reporting low levels of P-S deep-level similarity ($\beta = -0.27$, $p < 0.01$). *H7c* was also verified. Figure 2 shows the interaction effect of job insecurity, optimism, and P-S deep-level similarity in predicting job satisfaction.

Discussion

In this study, we predicted and tested that optimism would moderate the relation between job insecurity and job satisfaction. We also predicted that P-S deep-level similarity would moderate optimism to job satisfaction regression. Moreover, we predicted and tested that job insecurity, optimism and P-S deep-level similarity would interactively predict employee job satisfaction. We argued that this effect would be moderated by affective reactions and attitudinal similarity to employee perceptions of job insecurity (Weiss and Cropanzano, 1996). As we mentioned previously, researchers have found that job insecurity has negative effects on job satisfaction (Sverke *et al.*, 2002). In this study, we found that optimism and P-S deep-level similarity could jointly moderate the relationship between job insecurity and job satisfaction. Our work illustrated how positive traits (such as optimism) and psychological factors (such as P-S deep-level similarity) could affect employee job satisfaction with different levels of job insecurity.

Our findings point to the importance of similarity and optimism as buffers against job insecurity. The conservation or resources framework (COR, Hobfoll, 1989) could

help shed light on our findings. Hobfoll (1989) argues that individuals have finite resources and that individuals seek to conserve and maintain those resources when possible. Job insecurity perceptions may trigger negative employee reactions because the resource is being threatened. Consistent with the COR, it could be the case that P-S deep level similarity could serve as another resource that buffers against negative employee reactions. Likewise, COR may help explain why optimism (which is conceptualized as an individual resource) is also important for buffering against the job insecurity.

The most important theoretical implication of this study is the identification of optimism as an individual difference factor that moderates stimulus-attitude linkages at different levels of P-S similarity. This study advances the existing literature on coping with workplace stresses (see Ashford *et al.*, 1989; Lazarus and Folkman, 1984). Our identification of optimism and P-S deep-level similarity as joint moderators suggests that an alternative to explore the attitudinal outcomes for employees facing job insecurity. Our model holds that highly optimistic employees are more likely to be able to cope with their difficulties. Obviously, employee differences in optimism may also provide a more profound theoretical explanation to employee job satisfaction and subsequent results. Future researchers may continue to probe whether other mediators or moderators exist between optimism and job insecurity in different contexts (e.g. different corporate cultures, different levels of interpersonal relationships, etc).

All employees are subject to emotional ups and downs (Weiss and Cropanzano, 1996) and individuals are not immune to negative feelings associated with job insecurity (Jordan *et al.*, 2002). Even though high optimism employees are not super-human (Jordan *et al.*, 2002), the findings in this study point to the possibility that high optimistic employees are more likely to link perceived job insecurity and job satisfaction to some positive-related factors such as tenacity in psychology, effective handling skills to negative stress, and so on (Gillham, 2000). More connections may exist between job insecurity perceptions and job satisfaction and this is an area for future empirical research.

Practically, our work speaks to understanding the regulatory ability of optimism in the relationship between job insecurity and job satisfaction. Optimism can buffer against decreasing job satisfaction caused by decreases in job insecurity. This result is relevant to management and may help practitioners address the problems of reduced satisfaction that stems from job insecurity. There are at least two facets of our findings, which could facilitate managing work. First, our findings may help organizations identify optimism as a moderating factor that could alleviate the negative impacts of job insecurity on employee job satisfaction, which allows organizations to take actions to help buffer against the negative outcomes of job insecurity. Literature has addressed reactions to the stresses related to critical incidents (e.g. Jamal, 1985; Terry *et al.*, 1995). Our findings point out that optimism could affect employee job satisfaction when they have different perceptions of job insecurity under conditions of low and high P-S deep-level similarity. Although it may be difficult to change the contextual factors that influence employee job insecurity perceptions, it can be fruitful for the managers or agents of the organizations to help foster employee optimism. Managers or agents of the organizations could provide information about organizations that highlights the expected positive future. Likewise, in the case of negative events, managers and organization agents can help employees re-frame or re-appraise negative or ambiguous events in a positive light. It may still be fruitful to cultivate employees to be optimistic and to help employees and organizations realize the important buffering effects of optimism in difficulties like job insecurity.

Since job insecurity is a concern for employees, helping employees reframe or reassess their own positive inner qualities should help foster optimistic attitudes in order to deal with possible changes of the working world in the future. Likewise, it may be productive to examine optimism or predictors of optimism in the selection process. This can be done with the ultimate goal of choosing highly optimistic employees during the selection process. Another strategy for managing the threat of job insecurity is to help employees and supervisors identify P-S deep-level similarities. Indeed, our findings point out the potential of P-S deep-level similarity as a buffer against the negative outcomes related to job insecurity.

Taken together, our findings can inform interventions aimed at two broad changes. The first is interventions aimed at fostering employee optimism. This can take the form of teaching employee's cognitive re-appraisal and reframing techniques to see the positive in the future. This form of intervention can also be accomplished via behavioral modeling and leader/supervisor modeled optimism. Optimism-based interventions can also take the form of teaching employees about positive or adaptive elements of the organization (which could alleviate fears and concerns centered on job insecurity perceptions). Likewise, the second broad category of interventions can focus on fostering employee-supervisor rapport and similarity perceptions. This can be done in part via socialization mechanisms or via a mentoring based system where supervisors and employees are paired and rapport is fostered and encouraged.

Limitations

First, this study has limitations in terms of the sample. Our sample came from power production industries from one region in China and dangerous chemical enterprises in another region in China. The relationship identified in this project still need to be investigated in other industries, regions, organizational contexts, and different cultures.

Second, introducing optimism as a moderating variable is a unique contribution of this study. But due to spatial and temporal limitations of this study, we were unable to examine other variables that relate to optimism. Optimism is an important facet of psychological capital as a construct. Further research is needed to examine how optimism and other psychological capital facets fit into the framework of job insecurity and job satisfaction.

A third limitation of the study is the extent to which job insecurity accounted for (much of) the variance for job satisfaction compared to other variables often studied in tandem with job satisfaction. This finding also necessitates further research concerning job insecurity and job satisfaction. Our study assumes that respondents view perceived job security as a positive and desirable work characteristic. Therefore, our findings may be less applicable to temporary workers who took a job knowing their tenure was limited.

Conclusion

Our paper refers to the nature of optimism as a buffer against the negative consequences of job insecurity. Our findings point to the role of optimism as a buffer against the insecurity (as opposed to optimism predicting lower reports of insecurity, it relates to how people react to insecure job conditions). This finding is consistent with previous work concerning the nature of optimism as a buffer against the negative attitudinal outcomes of negative job characteristics and attitudinal outcomes. Our paper is also a contribution in that we identify P-S deep-level similarity as a positive factor that buffers against the negative effects of job insecurity. Taken together, the

interaction of optimism and P-S deep-level similarity indicates that employees with high optimism, coupled with high P-S deep-level similarity, are unlikely to experience low job satisfaction. This indicates that shared optimism (e.g. similar levels of high optimism) between employees and supervisors speaks to the influential nature of supervisor-subordinate relationships. Likewise, this finding also demonstrates the value of high-quality relationships between supervisors and subordinates as a resource for employee well-being.

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